

Sustainable Compliance for Business Team 5

**Karim Dernaika
Salah Marc
Gehring Louis
Arsh Vivek
Shushma Sadanand**

PART 1

Greenwashing's Benefits and Drawbacks

From the standpoint of the business:

Advantageous Impacts:

Short-term brand image improvement: Greenwashing can help a business come off as ecologically conscientious, which will draw in investors and customers who care about the environment.

Enhanced market share and sales: Customers might favor goods that are branded as "green," which would boost sales.

Competitive advantage: Businesses can set themselves apart in the market by projecting an image of sustainability.

Superficial regulatory compliance: To look in conformity with environmental standards without implementing major changes, some businesses engage in greenwashing.

Adverse Impacts:

Loss of customer trust: A brand's reputation may suffer from blowback when customers find false promises.

Legal and regulatory risks: Businesses that make false environmental claims may face fines from governments and watchdog groups.

Short-Term Benefits, Long-Term Damage: If sustainability claims are untrue, businesses may find it difficult to adopt actual

Benefits:

Enhanced Sustainability Awareness: Consumers may become more conscious of the effects on the environment even if they are presented with false information.

Market Shift Encouragement: Businesses may finally undertake genuine sustainability initiatives if enough customers demand greener products.

Misleading Choices:

Green products that don't genuinely benefit the environment may cost consumers extra.

Erosion of Trust in Green Marketing: People may start to doubt all environmental claims if greenwashing is pervasive, which will make it more difficult for truly sustainable businesses to stand out.

Greenwashing can impede genuine environmental advancement by giving the impression that businesses are taking more action than they actually are.

PART 2

Research: TotalEnergies' Sustainability Claims Challenged (2024, South Africa)

Case Overview

TotalEnergies, a French multinational oil and gas company, has been accused of greenwashing regarding its sustainability claims in South Africa. Environmental organizations argue that the company misleads the public by promoting its renewable energy projects while continuing to expand fossil fuel operations.

Techniques Targeted by the Complaint

1. **Selective Disclosure:** Highlighting renewable investments while downplaying ongoing oil and gas projects.
2. **Misleading Carbon Neutrality Claims:** Suggesting that its operations are environmentally responsible despite ongoing fossil fuel extraction.
3. **Use of Vague Terminology:** Phrases like "low-carbon energy" and "net-zero pathway" without clear commitments.
4. **Imagery & Marketing:** Ads featuring nature and clean energy, creating a false eco-friendly perception.

Greenwashing Techniques related to this case:

1. Selective Disclosure

- TotalEnergies highlights its investments in renewable energy while **minimizing** discussions about its ongoing fossil fuel expansion.
- Example: Marketing campaigns emphasize solar and wind projects but omit details about oil and gas operations.

2. Misleading Carbon Neutrality Claims

- The company claims to be on a "net-zero pathway," but in reality, it continues to **expand fossil fuel exploration**.
- Example: Suggesting that carbon offset projects (e.g., planting trees) compensate for emissions from oil extraction.

3. Use of Vague & Undefined Terminology

- Words like "**low-carbon energy**", "**sustainable development**", and "**green transition**" create a perception of eco-friendliness without concrete proof.
- Example: Advertising campaigns use **buzzwords** without providing measurable sustainability targets.

4. Manipulative Visual Imagery

- Marketing materials feature **green landscapes, solar panels, and wind turbines**, creating a misleading impression of an environmentally responsible company.
- Example: Using **nature-based visuals** while still heavily investing in offshore oil drilling.

5. Token Sustainability Efforts

- The company promotes **small-scale sustainability initiatives** (e.g., a few renewable projects) to distract from its larger, more polluting activities.
- Example: Sponsoring an environmental project while continuing massive oil exploration in Africa.

PART 3

Question 1

What is one of the main measures of the 'Climate and Resilience' law adopted in France in 2021?

- A) A ban on domestic flights if a train journey of less than 2.5 hours is possible ☒
- B) End single use plastic by 2040 ☐
- C) The abolition of all fossil fuel subsidies from 2022 ☐
- D) A total ban on advertising for plastic products ☐

Question 2

What is a common sign of greenwashing in a company's communications?

- A) The use of vague terms such as 'eco-responsible' without proof ☒
- B) The obligation to obtain an official label for any environmental statement ☐
- C) The total elimination of plastic packaging in all products ☐
- D) A ban on a company advertising its ecological impact ☐

Question 3

How much quantity of plastic does a human ingest in 10 years ?

- A) 5kg ☐
- B) 3,5kg ☐
- C) 2,5kg ☒
- D) 1,5kg ☐

Question 4

What is one of the main measures of the 'AGEC' law adopted in France in 2020 ?

- A) End single use plastic by 2040 ☒

B) Encourage change of consumption habits through fewer plastic packaging and more bulk products offer (by 2030) ✖

C) Produce better ✖

D) Reduce carbon emissions ✖

Question 5

What was the question asked to the french citizen during the convention for climat in 2019-2020

A) How to reduce GHG emissions by at least 40% by 2030 in a spirit for social justice ? ✔

B) Do your bit to reduce carbon emissions ? ✖

C) How to reduce GHG emissions by at least 30% by 2050 in a spirit for social justice ? ✖

D) What measures would you like to see taken for france in terms of ecology? ✖